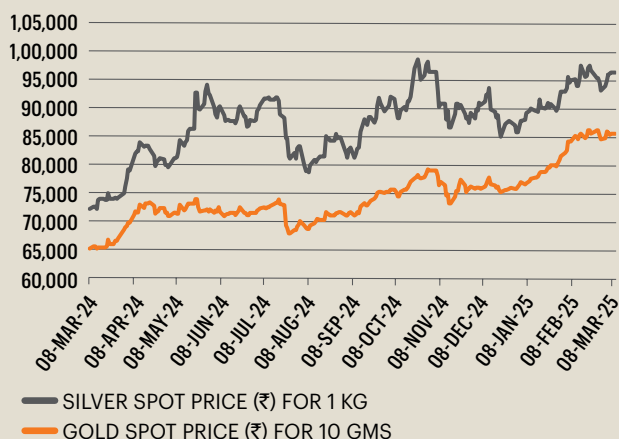


TAKE YOUR PICK

► Experts suggest holding both gold and silver ETFs for portfolio diversification rather than viewing them as alternatives

ONE-YEAR PRICE MOVEMENT OF GOLD, SILVER

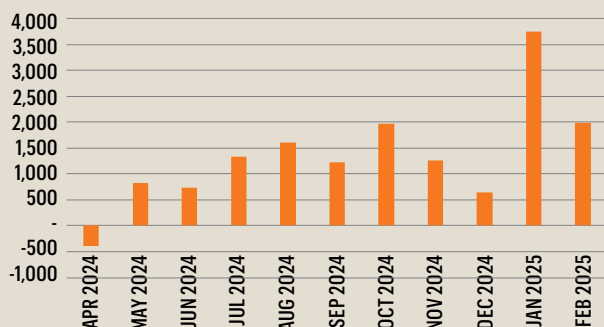


SOURCE MCX

SURGING INFLOWS

► Inflows into gold ETFs rose sharply in January 2025

NET MONTHLY INFLOW (₹ CR)



SOURCE AMFI

Iyengar of 360 One says to calculate the gold weight held in a gold ETF, one first needs to know the current price of gold and the NAV of the investment. If the price of gold is ₹8,000 per gram and the NAV of a gold ETF is ₹80, you can calculate the gold weight held per share by dividing the NAV by the price of gold.

In this case, ₹80 divided by ₹8,000 equals 0.01 grams of gold per share. To find the total weight of gold you own, multiply the gold weight per share by

the number of shares you hold. For example, if you own 100 shares, the total gold weight would be 0.01 grams x 100 units—one gram of gold. This calculation provides you an estimate of the total amount of gold based on the ETF's NAV and the current gold price.

Typically, when gold ETFs are launched, one unit reflects .01 gram of gold, says Siddharth Srivastava, Head of ETF Products & Fund Manager at Mirae Asset Mutual Fund. Over time, the TER charged by the fund tracks the difference between the NAV and the gold price. For example, if in one year, gold has given a return of 20% and the ETF TER is 0.50%, the ETF return will be around 19.50%. "Over a period, this builds up, leading to a difference in the price of an ETF unit and the price of physical gold," says Srivastava.

The best way is to not focus on the NAV but on the transaction and holding cost and how well the ETF tracks gold prices, because irrespective of the unit price, the returns will correspond to a change in the price of gold adjusted for cost and other factors, he says.

GOLD VS SILVER

A comparison between gold and silver is no more like that between apples and oranges. Silver, which is also an industrial commodity, has seen a sharp rise in demand due to its applications in renewable and industries like solar energy, electric vehicles, and high-tech electronics. That is why silver ETFs offer an indirect play on renewable energy and tech sectors, making them a higher beta alternative—implying higher risk but also higher returns—to gold. Both commodities can co-exist in a portfolio for long-term growth.

Srivastava of Mirae says silver ETF is a good investment. Even so, one must buy silver ETFs to complement the portfolio and not as an alternative to gold ETFs.

Jain of Zerodha Fund House says silver and gold ETFs should not be looked at as mutually exclusive and hence should co-exist in an investment portfolio. Gold, being a safe-haven commodity, protects your portfolio because it has a low correlation to equities.

Despite its stellar gain in the past year of turbulence, gold remains under-owned by global investors and, as a consequence, there is a strong likelihood of significant inflows into global gold ETFs in 2025, says Dhawan of Nippon. "While high prices may temporarily dampen physical demand, increased investment interest could offset some of this weakness. The key driver of the ongoing bull run is central bank buying, which is expected to remain robust in the foreseeable future," he says. **BT**

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